

Property Investment Purchase Checklist — New South Wales

Due diligence for buying an investment property, beyond what a homebuyer checklist covers.

Correct as at July 2026. General information only — not financial, tax or legal advice. Engage a qualified accountant, mortgage broker, and conveyancer before purchasing.

Section 1 — Structuring the Purchase

- ☐ ☐
- Decide on ownership structure before you buy** — individual, joint, trust, or company each carry different land tax, income tax, and asset-protection implications, and this is difficult to unwind after settlement.
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- Understand NSW land tax thresholds.** The general threshold is **\$1,075,000** and the premium threshold **\$6,571,000** — both were frozen from the 2025 land tax year and are scheduled for review by 1 June 2027 rather than indexed annually. If your total taxable NSW land value sits below \$1,075,000, you generally won't receive a land tax bill.
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- Understand land tax uses a 3-year averaging method.** Revenue NSW compares the 3-year average of your land value against the threshold, not just the current year's value — meaning a past high valuation can affect your bill for a period even if current values have eased.
- ☐ ☐
- Check whether trust ownership changes your position.** Land held in a special or discretionary trust generally does **not** receive the tax-free threshold — this can make a trust structure worse for land tax even where it makes sense for other reasons. Get a written land tax comparison before deciding.
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- If you're a foreign person, understand surcharge land tax.** From the 2025 land tax year, foreign owners pay an additional **5% surcharge** (increased from 4%) on the land value, with **no tax-free threshold and no exemption for a principal residence** — this applies in full regardless of the property's value. A companion **9% surcharge purchaser duty** (increased from 8% from 1 January 2025) also applies at purchase.
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- Get investment-specific finance pre-approval** — investment lending is assessed differently to owner-occupier lending.

Section 2 — Due Diligence on the Property Itself

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- Order a building and pest inspection** — just as essential for an investment purchase as an owner-occupied one.
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- Review the Contract of Sale and s10.7 planning certificate carefully.**
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- If buying a strata property, review the strata records** — sinking fund health and any special levies directly affect your investment returns.
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- Research the local rental market specifically** — vacancy rates, comparable rents, and tenant demand profile for your target suburb.
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- Check the Home Building Compensation Fund certificate** if the property has had building work over \$20,000 in the past 6 years.

Section 3 — Setting Up for Compliance From Day One

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- Budget for standard form agreement and condition report compliance** — get your systems right from the first tenancy, not as an afterthought.
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- Decide on self-management vs. a property manager** — particularly relevant given the 2024–2026 reform pace (no-grounds eviction abolition, pet rules, mandatory surveys) which materially increases the compliance burden on self-managing landlords.
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- Arrange landlord insurance**, separate from standard building insurance.
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- Engage a quantity surveyor for a tax depreciation schedule** shortly after settlement — see the separate Tax & Depreciation Checklist in this series.

Section 4 — Understanding the Current Tax Environment

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- Be aware that Commonwealth CGT settings for investment property are changing**, with reforms affecting the CGT discount generally applying from 1 July 2027 — confirm the finalised current position with your accountant before finalising your investment strategy.
- ☐ ☐
- Get advice on purchase and sale timing relative to this changeover** if your investment horizon spans the 2027 transition — the effect is highly dependent on your specific numbers, not a generic rule.

Quick Reference — NSW Investment Property Snapshot (July 2026)

ITEM	DETAIL
Land tax general threshold	\$1,075,000 (frozen from 2025 land tax year)
Land tax premium threshold	\$6,571,000
Foreign owner surcharge land tax	5% (increased from 4%, from 2025 land tax year), no threshold
Foreign purchaser surcharge duty	9% (increased from 8%, from 1 January 2025)
Land value assessment	3-year averaging method
Trust land	Generally no tax-free threshold

Land tax and surcharge rates change with state budgets — always confirm current figures with Revenue NSW before settling on a purchase strategy.

